

Research Briefing | Spain

Elections prolong political gridlock

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Socialists win again but gridlock continues

A bad time for permanent political paralysis

Chart 1

- The Socialist Party won the Spanish general election but again fell well short of achieving a majority. The Socialists will need the support from a collection of smaller parties in order to form a government or alternatively seek the abstention of the conservative Popular Party. Both options will be fraught with difficulties, so the probability of new elections remains high, close to 50%.
- We expect more political standstill over the coming months, and even if a government can be formed, it will likely be short lived. Although we still think political uncertainty will have a limited impact on the economy in the short term and the result does not change our forecasts, the persistence of the political gridlock comes at a difficult time for an economy facing increasing headwinds.

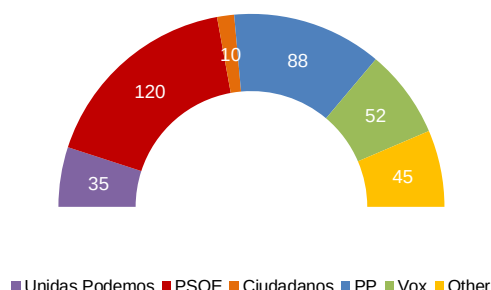
The Socialist Party (PSOE) won the election held yesterday but the political gridlock remains. The biggest story of the night was the surge of far-right VOX, which became the country's third largest party benefiting from the collapse of liberal Ciudadanos.

The political landscape remains broadly unchanged. The only feasible option to form a government will be a coalition of PSOE and far-left Podemos, with the support of regional parties. Socialists could seek the abstention from the Popular Party, but we think this is unlikely. Given how complicated both options are, we estimate the possibility of a new election in 2020 remains high, at close to 50%. More importantly, even if a government can be formed, it will surely be short-lived and will struggle to pass next year's budget.

Market reaction has been muted. Spanish equities are slightly down on the day but bond markets – a more accurate barometer of political risk – remain extremely calm. Although we still think the political situation will have a limited impact on the Spanish economy in the short term, the persistence of political paralysis is becoming increasingly dangerous given the Spanish economy is now facing a period of substantially lower growth.

Spanish parliament (176 seat majority)

Parties ordered from political left to right



Source: Oxford Economics/Interior Ministry

Following the results of yesterday's election, a coalition of PSOE and Podemos plus the support of some of the smaller regional parties continues to be the most likely way forward to form a government. Alternatively, the Socialist could seek the abstention of the Popular Party. Failure to do so would mean new elections in 2020.